CSIS AUSTRALIA CHAIR

Australia Daily Brief

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RE: Vanuatu expects China police drawdown after Nakamal pact · Haines attacked outside electorate office, suspect held · Ghost Shark armed with mines and strike drones under AUKUS · Farrell presses Coalition on EU deal · McClelland named NACC commissioner

ASX 200	AUD/USD	NZX 50	NZD/USD
8,846	0.6982	13,652	0.5664
+0.71%	+0.37%	-0.90%	+1.38%

IN THIS ISSUE Top Stories · Overnight · Stat · AUKUS · Pacific · New Zealand · China-Pacific · Canberra · Markets · Upcoming · The Wire

TODAY AT A GLANCE

1. Vanuatu says China's police presence is expected to shrink following its Nakamal Agreement with Australia, only the second on-record Pacific commitment to wind back Beijing's policing after Fiji's 2024 move.
2. Counter-terrorism police are investigating after independent MP Helen Haines was attacked outside her Wangaratta electorate office, with a suspect already in custody.
3. Defence has declassified new Ghost Shark capabilities, armed sea mines and Anduril Altius strike drones, now on offer to Washington and London under AUKUS technology-sharing arrangements.

TOP STORIES

CHINA-PACIFIC

Vanuatu expects China's police presence to fall after Nakamal Agreement with Australia

Vanuatu has flagged that China's police presence in the country is "expected to reduce over time" following the signing of the landmark Nakamal Agreement with Australia. **Jotham Napat**, Vanuatu's prime minister, says his government has yet to approve an increase in Australian police officers under the deal. China has kept a small police training team in Vanuatu since 2023, and its embassy has made substantial donations to the police force. Fiji's prime minister **Sitiveni Rabuka** made the only prior on-record commitment to wind back Beijing's police presence, in 2024.

per ABC News (Stephen Dziedzic): "Vanuatu expects China police presence to fall after deal with Australia"

AU-POLITICS

Independent MP Helen Haines critically injured in attack outside electorate office

Anthony Albanese said counter-terrorism police are investigating after independent MP **Helen Haines** was attacked near her electorate office in Wangaratta, in Victoria's north-east, and that a man has been arrested. Albanese separately described the Indi MP as "a beacon of light" and a deeply respected politician. The Sydney Morning Herald wrote that the attack, if confirmed as politically motivated, must be a line in the sand for Australian politics.

per ABC News: "Live: Indi MP Helen Haines critically injured after 'attack' at electorate office" · also SMH: "Albanese praises Haines as 'a beacon of light'"

AUKUS

Declassified details show Ghost Shark drones will carry sea mines and strike drones

Defence has declassified details showing Australia's Ghost Shark autonomous submarines will carry up to *twelve sea mines* at a time and launch swarms of Anduril Altius aerial drones carrying four kilograms of explosives each. Dozens of the vessels are being delivered to the Royal Australian Navy under a $1.7 billion contract signed last year. The Sydney Morning Herald put the broader expansion at $5.8 billion. The sea mine and drone capabilities are being offered to the UK and US under AUKUS technology-sharing arrangements.

per ABC News: "Ghost Sharks to be armed with aerial drones and advanced sea mines" · also SMH: "Explosive swarms and hidden mines: How Ghost Sharks will transform undersea warfare" · also Bloomberg: "Australia Says Unmanned Submarine to Carry Mines, Aerial Drones"

OVERNIGHT

TRADE-ECONOMY

Farrell urges Coalition not to go off an 'economic cliff' on EU trade deal · ABC News

Trade Minister **Don Farrell** called on the Coalition to back the free trade agreement struck with the European Union earlier this year, warning against going off an "economic cliff". Nationals leader **Matt Canavan** said last week both Coalition parties oppose the deal as written, though senior Liberals told the ABC shadow cabinet has not considered it. The National Farmers Federation is urging the government to push back on the terms.

AU-DEFENSE

Navy member stood down after recording device found aboard HMAS Leeuwin · ABC News

A navy member has been stood down with pay after a recording device was found in a cabin aboard HMAS Leeuwin. The step follows Defence Industry and Pacific Island Affairs Minister **Pat Conroy**'s demand last week for a culture change in the Australian Defence Force after the camera was discovered. The matter remains under investigation.

AU-DEFENSE

Funeral held for Corporal Brendan Hannam, killed in Darwin training exercise · ABC News

Corporal **Brendan Hannam**, twenty-eight, was farewelled at the Lone Pine Chapel at Robertson Barracks in Darwin, two weeks after dying when a troop carrier rolled during a training exercise at the Mount Bundey Training Area. Five other men were injured. The Australian Defence Force has paused use of the Supacat HMT military vehicle while an investigation proceeds.

AU-POLITICS

McClelland named national integrity commissioner after Brereton scandal · SMH

Robert McClelland, a judge and former Labor attorney-general, will become the new National Anti-Corruption Commissioner. He inherits a body Labor created but which has been overshadowed by controversy, and The Australian framed the appointment as following the Brereton scandal.

STAT OF THE DAY

$1.7 billion

Ghost Shark contract for autonomous submarines

Dozens of the armed underwater drones go to the Royal Australian Navy under a contract signed last year, with their mine and strike-drone payloads now offered to the US and UK under AUKUS.

ABC News

AUKUS WATCH

PILLAR 1 · ASPI STRATEGIST

ASPI argues AUKUS steel demand should be tied to green industrialisation

ASPI argues Australia's military programs, AUKUS in particular, and its green industrialisation agenda are wrongly treated as separate tracks. AUKUS is creating decades of demand for specialised steel and advanced manufacturing that could anchor a domestic green steel industry still looking for guaranteed offtake.

PACIFIC WIRE

FIJI · RNZ PACIFIC

Fiji's constitutional reform reopens debate over who counts as 'Fijian'

Public consultations on **Sitiveni Rabuka**'s Constitutional (Amendment) Bill 2026, intended to replace the widely criticised 2013 constitution, have reignited argument over ethnic identity, the role of traditional chiefs, and whether Fiji should be a Christian or secular state. The bill passed its second reading this month. Consultations opened two days after Fiji marked its 56th independence anniversary.

SAMOA · RNZ PACIFIC

Former Samoa Observer editor accuses Samoan PM of acting 'above the law'

Shalveen Chand, former editorial chief of Samoa's only independent daily, has accused Prime Minister La'aulialemalietoa Leuatea Schmidt of nepotism, intimidation of journalists, and a lack of accountability since taking office in September 2025. Chand, writing in the Cook Islands News where he now works, said the Samoa Observer has been banned from government events and that he was assaulted outside the prime minister's house.

COOK ISLANDS · RNZ PACIFIC

Cyclone Wati tracks over southern Cook Islands, Aitutaki reports damage

Category 2 Tropical Cyclone Wati passed over Aitutaki and tracked towards Mauke and Mangaia, with the Cook Islands Meteorological Service warning of storm force winds of *54 to 76 knots*, heavy swells, and coastal

inundation. Aitutaki mayor **Nick Henry** told RNZ Pacific a coconut tree fell on one home and debris cut power to others, with most lines underground.

REGIONAL · ABC PACIFIC

Pacific financial crime officials meet in Sydney as AUSTRAC deepens ties

Financial crime officials from across the Pacific met in Sydney to strengthen cooperation against money laundering, fraud, and scams. AUSTRAC Deputy CEO Regulation **Katie Miller** said drug smuggling was a focus of the plenary, with a "spillover effect" showing up as rising drug use inside Pacific nations.

REGIONAL · ISLANDS BUSINESS (PACNEWS)

US calls for end to UN decolonisation committee, criticises Pacific visits

PACNEWS reports the United States has called for the UN decolonisation committee to be wound up and criticised its visits to Pacific territories. The same bulletin carries warnings that Pacific nations are still waiting on climate finance as a fossil fuel divide looms over COP31, and that US ambassadorial vacancies are thinning diplomatic coverage.

FIJI · ISLANDS BUSINESS (PACNEWS)

SODELPA wants Fiji's election delay clause removed

SODELPA is pressing for the removal of a clause permitting a delay to Fiji's election, PACNEWS reports. The same bulletin carries an Australian-modelled proposal to address Papua New Guinea's teacher shortage, and reports that details of a regional drone deal are still to be disclosed.

PAPUA NEW GUINEA · ABC PACIFIC

Buka town runs short of water as El Nino dries Bougainville tanks

Buka, the administrative centre of the Autonomous Region of Bougainville, is facing severe water shortages, New Dawn FM manager **Aloysius Laukai** told ABC Pacific. Little rain has fallen for a month, water tanks are running dry, and the town has no reticulated water supply system. Parts of Solomon Islands and Vanuatu are facing the same El Nino dry conditions.

NEW ZEALAND

NZ-DEFENSE · ISLANDS BUSINESS

Fiji and New Zealand end joint uncrewed maritime surveillance operation

Fiji and New Zealand have concluded a joint maritime operation using uncrewed aerial systems to identify illegal activity at sea. The work runs alongside Australia's separate handover of unmanned maritime drones to Fiji to support the region's effort against drug smuggling and illegal fishing.

TRADE-ECONOMY · BLOOMBERG

New Zealand's trade deficit with China widens on electric vehicle imports

New Zealand's trade deficit with China has widened, driven by electric vehicle imports, Bloomberg reports. China remains New Zealand's largest trading partner, and the composition of the gap lands three weeks out from the November 7 general election.

TRADE-ECONOMY · BLOOMBERG

CPI release set to decide whether the New Zealand dollar's losing run ends

An upcoming consumer price index release will determine whether the New Zealand dollar arrests its recent slide, Bloomberg reports. The NZD/USD traded at 0.5664, up 1.38 percent, while the NZX 50 closed at 13,652, down 0.90 percent.

CHINA IN THE PACIFIC

PALAU · RECOGNITION SWITCH · ISLANDS BUSINESS (PACNEWS)

Palau's president rebuffs Chinese pressure over Taiwan: 'Our choice, not yours'

PACNEWS leads with Palau's president telling Beijing that his country's ties with Taiwan are "our choice, not yours", staring down Chinese pressure. Palau is one of three Pacific Islands Forum members holding formal diplomatic relations with Taipei, alongside the Marshall Islands and Tuvalu, and takes the Forum chair this year.

CANBERRA POLITICS

AU-POLITICS · GUARDIAN AUSTRALIA

Shoebridge says Steele-John agreed to leave as Greens hold emergency meeting

Greens leader **David Shoebridge** said it was his understanding that Western Australian senator **Jordon Steele-John** agreed to take leave from the party room while misconduct allegations are investigated, and that it is "appropriate" he does so. Steele-John said in a statement on Sunday night that he is not on leave, never agreed to stay away from parliament, and that Shoebridge pressured him. He accused an internal faction of playing "nasty politics".

AU-POLITICS · ABC NEWS

Lambie condemns One Nation cartoon mocking her health condition; Hanson says 'get over it'

Independent senator **Jacqui Lambie** attacked a One Nation Please Explain cartoon that used her vaginal prolapse as a punchline, saying "decent leaders don't stir up hatred". **Pauline Hanson** told her to have a laugh and get over it. Liberal MP **Andrew Hastie** criticised One Nation's "MAGA-style politics", and Albanese and crossbenchers backed Lambie. She said she would not demand the video's removal.

AU-POLITICS · THE AUSTRALIAN

Snowy 2.0 cost blowout could reach $40 billion

Energy Minister **Chris Bowen** is preparing to reveal a multibillion-dollar cost blowout on Snowy 2.0 following a review, with the total potentially reaching *$40 billion*, The Australian reports. The pumped hydro project is central to the government's firming capacity plans.

AU-POLITICS · ABC NEWS

Victorian premier caps public transport fares at $30 a week ahead of state poll

Premier **Ben Carroll** pledged to cap public transport fares at $30 a week for two years to December 2028 if Labor is re-elected next month, a day after announcing a $30 weekly freeway toll cap. The Australian put the fare cap at $206 million and Labor's election promises above $4 billion. The Victorian Chamber of Commerce and Industry raised concern over the rising cost-of-living tab.

AU-POLITICS · THE AUSTRALIAN

Mining body warns Labor's workplace laws risk poaching and project delays

A mining industry body has warned that Labor's workplace relations laws risk worker poaching and delays to resource projects, The Australian reports. The complaint lands as the Fair Work Commission confirmed clerical workers will win the right to request working from home from next week.

BUSINESS AND ECONOMY

TRADE-ECONOMY · SMH

CBA chief economist warns further rate rises risk recession

Commonwealth Bank chief economist **Luke Yeaman** said a November rate rise is possible and another could follow next year if inflation persists, warning the Reserve Bank risks tipping the economy over the edge. The Sydney Morning Herald reported the cash rate has been pushed to 4.6 percent, with oil prices adding to the inflation threat. Brent traded at 108.50, up 2.30 percent.

TRADE-ECONOMY · ABC NEWS

Australia could lose structural and rail steelmaking for up to five years

Whyalla workers say critical safety equipment including heat suits contained "massive holes" while the plant was run by **Sanjeev Gupta**, whose GFG Alliance is not taking responsibility for the broken blast furnace. The outage could leave Australia without structural and rail steelmaking capacity for up to five years.

TRADE-ECONOMY · AFR

BYD more than triples Australian revenue to $2.4 billion

Chinese electric vehicle maker BYD more than tripled its Australian revenue to *$2.4 billion*, the Australian Financial Review reports, with record sales recorded before the Middle East war further stoked demand for electric vehicles.

TRADE-ECONOMY · THE AUSTRALIAN

Ampol extends refinery maintenance, cutting Christmas fuel supply by 150 million litres

Ampol has extended refinery maintenance, cutting Christmas fuel supply by *150 million litres*, The Australian reports. The squeeze lands as Brent crude trades at 108.50, up 2.30 percent, and as fuel security questions return to the Australian policy agenda.

UPCOMING

OCT 26

Advance voting opens for the New Zealand general election

Early ballots start before the last campaign week, compressing the window for late-breaking foreign and defence policy argument.

OCT 2026

New Zealand consumer price index release

The print will determine whether the New Zealand dollar's losing run continues, days before advance voting opens.

NOV 7

New Zealand general election

Decides whether the National-ACT-NZ First coalition continues, and with it Winston Peters' foreign policy line and Judith Collins' defence programme.

NOV 2026

Next Reserve Bank of Australia rate decision

CBA's chief economist says a November rise is possible with the cash rate already at 4.6 percent and oil climbing.

MAR 2027

Papua New Guinea's inaugural China business forum and trade expo

Pushed back from its original date, the forum is the clearest marker of Port Moresby's commercial engagement with Beijing.

THE WIRE

PACIFIC-POLITICS

DEVPOLICY BLOG

Devpolicy: three PNG women MPs to watch in 2027

Three women now sit in Papua New Guinea's parliament, a historic first. Diane Zetlin, Mactil Bais, and Sarah Warner ask whether **Rufina Peter**, **Kessy Sawang**, and **Francesca Semoso** can hold their seats at the 2027 election.

ABC PACIFIC

Super Typhoon Champi misses Guam by 16 kilometres

Guam avoided a direct hit when Super Typhoon Champi passed 16 kilometres from the island over the weekend, after the territory moved to Condition of Readiness 1.

TRADE-ECONOMY

LOWY INTERPRETER

Lowy: East African oil could loosen Asia's grip on Australia's fuel supply

Dangote's Kenyan refinery will not displace Asia as Australia's main oil supplier, the Lowy Interpreter argues, but deserves serious consideration as a diversification option for Australian fuel security.

AU-DEFENSE

ASPI STRATEGIST

ASPI: manufacturing self-reliance is a long-term path to a weaker economy

ASPI argues national security analysts calling for ramped-up domestic technical development and manufacturing are prescribing a long-term route to a weaker Australian economy, and therefore weaker security.

US-AUSTRALIA

UNITED STATES STUDIES CENTRE

USSC: what Australia needs to know about the 120th Congress

The United States Studies Centre assesses the US midterms result and what the incoming 120th Congress means for Australia, the body that handles authorisation questions bearing on the alliance.

AU-POLITICS

ABC NEWS

City-to-regional migration matches pandemic peak

Commonwealth Bank data analysed by the Regional Australia Institute shows migration from capital cities to regional Australia in the June 2026 quarter matched the record set in June 2021, with Sydney accounting for *52 percent* of the net outflow and the Sunshine Coast the most favoured destination.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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